

Working Capital Management

Meaning: Working Capital Management (WCM) is the process of planning, controlling, and managing current assets and current liabilities to ensure smooth day-to-day business operations while maintaining an optimum balance between liquidity and profitability.

Definitions

Weston and Brigham: Working capital management refers to the management of a firm's current assets and current liabilities in such a way that a satisfactory level of working capital is maintained.

Guthmann and Dougall: Working capital management is concerned with the problems that arise in attempting to manage current assets, current liabilities, and their interrelationship.

Smith: Working capital management is concerned with the administration of current assets and current liabilities.

Sources of Working Capital

Long-term Borrowings: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Equity Share Capital: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Preference Share Capital: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Retained Earnings: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Bank Credit: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Trade Credit: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Commercial Paper: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Public Deposits: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Factoring: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Accrued Expenses: This source provides funds to finance business operations and working capital requirements. It supports day-to-day activities, improves liquidity, and helps maintain uninterrupted production and business continuity. Proper use of this source enhances financial stability while balancing cost and risk.

Factors Influencing Working Capital Requirements

Nature or Character of Business: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Size of Business: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Production Policy: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Manufacturing Process: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Length of Production Cycle: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Seasonal Variations: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Working Capital Cycle: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Rate of Stock Turnover: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Credit Policy: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Business Cycles: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Rate of Growth of Business: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Earning Capacity and Dividend Policy: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment,

whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Price Level Changes: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Other Factors: This factor directly influences the amount of funds required for current assets. Efficient planning reduces unnecessary investment, whereas adverse conditions increase working capital requirements and affect liquidity and profitability.

Current Asset Policy

Current Asset Policy determines the level of investment in cash, inventories, and receivables. Conservative policy maintains high current assets with low risk and low profitability. Aggressive policy keeps minimum current assets, increasing profitability but also risk. Moderate policy balances liquidity and profitability.

Current Asset Financing Policy

Current Asset Financing Policy determines how current assets are financed. Conservative financing uses long-term funds, aggressive financing relies on short-term funds, and matching (hedging) financing matches asset life with funding maturity to balance cost and risk.

Current Asset Policy

Meaning

Current Asset Policy refers to the firm's strategy regarding the level of investment in current assets such as cash, inventory, and receivables. The objective is to maintain an optimum balance between liquidity and profitability. A higher investment in current assets improves liquidity but reduces profitability, while lower investment increases profitability but also increases financial risk.

Types of Current Asset Policy

1. Conservative Current Asset Policy

Under this policy, the firm maintains a high level of current assets. It keeps larger cash balances, inventories, and receivables to minimize the risk of stock-outs and liquidity shortages. Although this policy provides greater safety and operational continuity, it lowers profitability because excess funds remain idle.

2. Aggressive Current Asset Policy

The firm maintains the minimum possible level of current assets. This policy increases profitability because less capital is tied up in current assets. However, it exposes the firm to greater liquidity risk and increases the possibility of inventory shortages and payment defaults.

3. Moderate (Hedging) Current Asset Policy

This policy balances risk and return by maintaining an optimum level of current assets. The firm holds sufficient inventories, cash, and receivables to ensure smooth operations while avoiding excessive idle funds. It is widely considered the most practical approach for maintaining liquidity and profitability simultaneously.

Current Asset Financing Policy

Meaning

Current Asset Financing Policy refers to the method adopted by a firm to finance its current assets using long-term and short-term sources of finance. The objective is to minimize financing cost while maintaining adequate liquidity and financial stability.

Types of Current Asset Financing Policy

1. Conservative Financing Policy

Under this policy, both permanent and a major portion of temporary current assets are financed through long-term sources such as equity and long-term loans. This provides high liquidity and low financial risk but increases financing costs because long-term funds are more expensive.

2. Aggressive Financing Policy

The firm finances not only temporary current assets but also part of its permanent current assets through short-term borrowings. This reduces financing costs due to lower short-term interest rates but increases refinancing and liquidity risks. It offers higher profitability at the cost of greater financial risk.

3. Matching (Hedging) Financing Policy

Under the matching policy, permanent current assets are financed through long-term funds, while temporary current assets are financed through short-term sources. This approach matches the maturity of assets with the maturity of financing. It provides a balanced combination of liquidity, profitability, and financial risk and is widely regarded as the most appropriate financing strategy.
